

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

JOINT STATUS REPORT

Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) and Respondents Ocean Carrier Equipment Management Association, Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), CMA CGM S.A. (“CMA”), COSCO Shipping Lines Co. Ltd. (“COSCO”), Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG (“Hapag-Lloyd”), HMM Co. Ltd. (“HMM”), Maersk A/S (“Maersk”), MSC Mediterranean Shipping Company S.A. (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Wan Hai Lines Ltd. (“Wan Hai”), Yang Ming Marine Transport Corp. (“Yang Ming”), and Zim Integrated Shipping Services (“ZIM”)

(collectively the “Parties”)¹ have conferred and submit this Joint Status Report pursuant to the February 18, 2022 Order.

I. SCOPE OF THE PROCEEDING

A. IMCC’s Statement

IMCC claims Respondents violated the Shipping Act of 1984, 46 U.S.C. § 41102(c), by engaging in unjust and unreasonable conduct and practices that have harmed and continue to harm commerce of the United States. Respondents’ actions, described more fully below, impact the terms and conditions under which motor carriers, beneficial cargo owners, and ultimately, the shipping public, obtain and pay for chassis for transporting cargo containers to or from the ports and intermodal terminals throughout the United States.

IMCC further claims that Respondents OCEMA and CCM, as well as the Ocean Carrier Respondents acting through them, have recognized the benefits of creating and maintaining interoperable “gray” chassis pools at ports and inland terminals. However, the Ocean Carrier Respondents have taken unjust and unreasonable actions to leave such pools, described more fully below, again to the harm of motor carriers, beneficial cargo owners, and the shipping public, particularly by decreasing the fluidity of container movements through ports and inland terminals and imposing inefficiencies on the supply chain.

Notwithstanding the nationwide reach of this case, to efficiently engage in discovery the Parties “limit[ed] certain categories of initial Party document discovery to the following geographic areas: the Ports of Long Beach and Los Angeles, the Port of Savannah, intermodal terminals in the Chicago area, and intermodal terminals in the Memphis area.” See Mar. 1, 2021 Joint Status Report and Proposed Disc. Sched. This limitation on “certain categories of initial

¹ In this Joint Status Report, the term “Ocean Carrier Respondents” refers to CMA, COSCO, Evergreen, Hapag-Lloyd, HMM, Maersk, MSC, ONE, Wan Hai, Yang Ming, and ZIM.

Party document discovery” did not limit the scope of IMCC’s claims. *See id.* The Complaint addresses unjust and unreasonable conduct and practices throughout the United States.

Respondents’ policies and practices concerning intermodal chassis affect nearly every intermodal shipment into and out of ports and inland terminals of the United States. Although not a direct proxy for the scope of the proceeding, record evidence demonstrates that as of the end of 2019 there were approximately 530,000 total maritime chassis in the United States, with approximately 201,000 total pool chassis in the Southern California, Chicago/Ohio Valley, South Atlantic, and Memphis regions.

B. Respondents’ Statement

Complainant Intermodal Motor Carrier Conference (“IMCC”), a subgroup of the American Trucking association (“ATA”), an association of motor carriers, seeks to have the Federal Maritime Commission (“FMC” or “Commission”) rule that certain alleged practices of container lines, who are the Respondents in this proceeding, violate Section 41102(c) of the Shipping Act of 1984. The evidence adduced in this proceeding, discussed below, confirms the absence of any concerted effort by OCEMA, CCM, or the Respondent ocean carriers to limit Choice. To the contrary, the evidence shows that denials of Choice are rare and, when they occur, it is for reasons that are typically outside the control of the container line, e.g. due to actions of Intermodal Equipment Providers who are not parties to this proceeding. No violation of the Shipping Act has been proven.

What has been shown, even though discovery in this proceeding was limited to certain geographies, it is that this proceeding has been motivated by a small group of powerful trucking companies, who sit on the Board of the IMCC, for the purpose of advancing the commercial objectives of the North American Chassis Pool Cooperative (“NACPC”), and accomplish

through judicial fiat what NACPC has been unable to accomplish through arms-length dealings in the marketplace. Notably the same motor carriers whose principals serve on the IMCC Board and who authorized this proceeding have direct ownership in NACPC and are using this lawsuit to advance NACPC's and their own financial interest.

The limitation on discovery to the geographic areas of Los Angeles / Long Beach, Savannah, Chicago and Memphis has been a one way street for the IMCC because it has used this limitation as a shield to prevent discovery from motor carriers who hold ownership interests in NACPC and are members of the IMCC but do not operate in those geographies. Now that they have the benefit of this "streamlining", the IMCC seeks to apply the limited discovery conducted in this case to every geographic area of the country. Notwithstanding our disagreement with IMCC with respect to the "limitations on certain categories of initial Party discovery," the limitation did not limit the scope of Respondents' defenses. Complainants have the burden of proving its alleged violations wherever the Complaint alleges that violations occur, and Respondents reserve their rights to defend those allegations in all respects, including but not limited to, challenging the applicability of IMCC's evidence and arguments in each specific region in the U.S. that IMCC seeks to allege violations of the Shipping Act.

II. AREAS ON WHICH EXPERT WITNESSES ARE EXPECTED TO OPINE

A. IMCC's Statement

IMCC has engaged two expert witnesses in this matter. IMCC's first expert witness, Dr. Jean-Paul Rodrigue, will opine on at least the following areas:

- i. The U.S. chassis market is the outcome of a unique history in which ocean carriers became responsible for providing chassis. This is unlike the rest of the world where motor carriers or logistics companies have that responsibility. While chassis used to be

owned by ocean carriers for drayage from/to their terminal facilities, from 2009, ocean carriers began to sell their chassis to IEPs. In turn, IEPs provided chassis from proprietary, single-provider chassis pools or from interoperable gray pools managed by an independent party to which they contributed chassis with other IEPs.

- ii. Interoperable gray chassis pools are more efficient than other chassis provision models. They result in fewer chassis splits, fewer chassis flips, less demurrage and detention, less wait time at terminals, less repositioning of chassis between pools. They also result in better utilization of equipment, including chassis, containers, and trucks. The inefficiencies of non-interoperability are largely reflected in the operations of motor carriers and to a lesser extent intermodal rail operators; however, they impact all stakeholders, including ocean carriers, intermodal equipment providers (“IEPs”), and beneficial cargo owners (“BCOs”), who need to carry additional inventory to compensate for delays and supply chain capacity decreases created by the lack of interoperability.
- iii. CCM Pool Operations Manual Rules 5.5 and 5.7 are more restrictive than needed to promote a reliable supply of intermodal chassis at a fair and reasonable price. The existing CCM chassis Choice Rules give IEPs unreasonable negotiating leverage, which leads to higher prices for motor carriers and their customers and creates inefficiencies in the supply chain, such as chassis splits and chassis flips. A model that allowed open choice, where motor carriers were free to obtain chassis from the provider of their choice, would alleviate these problems.
- iv. The ocean carriers’ decision to designate IEP proprietary chassis pools as their exclusive chassis providers in geographic regions also served by CCM interoperable gray pools has destabilized those CCM pools (leading to the eventual closure of CCM’s COCP pool in

the Chicago area). These changes have made the chassis supply chain in these regions increasingly dysfunctional, with decreased fluidity and increased inefficiencies. The COVID-19 pandemic can be considered as a stress test that underlined the underlying problems associated with the lack of interoperability in the chassis-provisioning market in Chicago and Memphis. In summary, the withdrawal of ocean carriers and their related IEP chassis from CCM-managed interoperable gray pools is not consistent with maintaining a reliable, efficient, and fluid supply of chassis to stakeholders in the intermodal supply chain.

- v. The Los Angeles/Long Beach, Chicago, Memphis, and Savannah areas are each appropriate geographic markets within which the effects of the conduct alleged in this case may be assessed. Chassis markets in the United States are regional and must be treated as such. The capacity available in one market cannot readily be transferred to another.

IMCC's second expert witness, Dr. James Langenfeld, will opine on at least the following areas:

- i. The relevant product market in this matter is the daily usage of chassis. Trucking companies rely on chassis for movements that connect the end customers to ocean transport. IEPs market daily chassis usage to Ocean Carriers, motor carriers, and the customers of motor carriers. The inability to substitute use of chassis at one port for that at another indicates the relevant geographic markets are the regions around major ports and inland terminals. While chassis ownership or long-term leases can be long-run alternatives to daily chassis usage in certain circumstances, there are no short-term alternatives.

- ii. Because of the configuration of wheeled terminal operations around the U.S., a motor carrier deciding whether to lease or invest in “trucker-owned-wheels” generally faces lower prospective utilization (and lower return on investment) of that chassis. Further, because of common contracting provisions, trucker-owned wheels in most instances cannot be used for CH movements. Finally, operational inefficiencies, a lack of motor carrier resources, and current chassis purchase market conditions disincentivize truckers from leasing and owning chassis in most geographic areas, except for in the use of some specialty chassis and for repeated round-trip movements.
- iii. Over the past several years, MH rates have risen steadily and substantially, and there is no indication that daily chassis usage fell significantly. The ability of the IEPs to enact these price increases during this period without a significant loss in sales or a substantial increase in trucker-owned wheels is consistent with daily chassis usage for MH movements being a relevant market for examining the Ocean Carriers Respondents’ actions. CH and MH may be in the same overall market for daily chassis usage, but they are not perfect substitutes for one another and actions by the Ocean Carriers may adversely affect the MH daily usage submarket.
- iv. Motor carriers cannot substitute between ports in response to an increase in daily usage prices for chassis; the motor carrier is charged with transport from the port where the Ocean Carrier discharges the container to the end destination (or vice-versa). Procuring chassis from an alternate location and carrying that bare chassis between ports or terminals in response to a price increase in the daily usage rate for chassis is cost prohibitive.

- v. In the case where the Ocean Carrier is joining an IEP's proprietary pool, exclusivity is inherently granted, since Choice cannot occur in a proprietary pool. In the case of gray pools, the degree of exclusivity depends on whether the Ocean Carrier disallows or permits Choice (or Choice with Approval). Choice is critical to promoting competition between IEPs for motor carrier business. If the IEP is free to choose what price it charges the motor carrier and does not suffer any lost volume if it increases price (*i.e.*, by the motor carrier exercising Choice away from that IEP), the IEP in effect becomes a "monopolist" of daily chassis usage for the Ocean Carrier's MH movements in that pool. By making an IEP the default provider for MH in a given geographic market (rather than have Choice), exclusive dealing in this matter reduces the ability of additional IEPs to compete on MH business. However, Ocean Carriers can benefit from *de facto* exclusive contracts by negotiating lower prices with IEPs on their CH shipments.
- vi. The lack of Choice raises the MH prices motor carriers pay for daily chassis usage.
- vii. The ability of the Ocean Carriers to deliver volume to the IEPs through preferred provider agreements allows for implicit cross-subsidization of the Ocean Carrier's (lower) CH rates through higher MH rates, and CH and MH price levels suggest cross-subsidization of CH by higher MH pricing.
- viii. Negative impacts from the Ocean Carriers' conduct include departures from gray pools, increased operational costs, and reduced quality of service. These negative factors should be considered alongside the direct effect on prices in the MH daily use submarket when assessing the reasonableness of the Ocean Carriers' conduct.

B. Respondents' Statement

Respondents' experts are expected to testify on the following areas and render the following opinions:

1. Container lines historically owned, provided and paid for the chassis which transported their containers. However, the burden and expense of providing that service became onerous and distracted from their core business competency of transporting containers on ocean going vessels.
2. Beginning in 2008, the container lines began to divest ownership of chassis by selling them to IEPs, which then owned, managed and leased them to container lines, BCOs, shippers and motor carriers for a fee.
3. Following a series of consolidations which began in the 1980s, the chassis leasing market became dominated by three companies, TRAC, DCLI and Flexi-Van.
4. NACPC was formed in 2012 as an alternative form of chassis owner and provider. NACPC is presently owned by eleven trucking companies, all of which are members of IMCC.
5. Container lines typically contract with one or more of the three dominant IEPs, and NACPC in the areas where it does business, for the provision of chassis to move their containers, whether on CH or MH terms. In these contracts, the IEPs undertake to provide an adequate supply of chassis at various locations in return for a daily chassis usage charge. These agreements often provide volume discounts on container usage rates in recognition of the large volumes which the container lines commit to provide.
6. Some of these agreements contain clauses which associate relatively modest incentives, discounts or other economic provisions in relation to a container line's level of volume and/or percentage of CH volume. Respondents' experts will opine that there is no evidence showing that any container lines "mandate that IEPs enter in contracts that compel IEPs to overcharge motor carriers for chassis for MH movements," as alleged in the Complaint, nor do any of the contracts mandate the charges that IEPs assess for merchant haulage

movements. Respondents' experts will also opine that that provisions in these contracts that relate to CH/MH percentages do not motivate container lines to impose limitations on Choice.

7. Some motor carriers own or lease their own chassis.
8. Certain motor carriers, BCOs or shippers occasionally request to use a chassis which would be provided by an IEP other than the container line's default provider, in a pool that has multiple IEP contributors, which is known as Choice.
9. Pursuant to some of the IEPs' user agreements, the IEP is designated as the exclusive or preferred/default provider of chassis to the container line at various locations. However, many of those same user agreements expressly recognize the ability of the container line to allow Choice or do not restrict the container line's ability to do so. The experts will opine that the great majority of container lines generally allow Choice when a motor carrier seeks to designate a chassis provider of its own choosing in a multi-provider pool context.
10. The cost of providing a chassis represents a very small percentage, typically around 1%, of a container line's total transportation costs.
11. Choice of IEP is not a significant driver of motor carrier costs and opportunities. However, motor carriers are not paying more for chassis use than they are billing. Respondents' experts will opine that motor carriers generally profit from chassis charges, by charging either a percentage or fixed fee "mark-up" to BCO customers.
12. The MH daily rental rates charged to motor carriers by IEPs cannot be fairly characterized as causing any harm to the shipping public.
13. A system in which motor carriers have an unfettered right to select the chassis provider of their choosing at all times is not possible given the many circumstances where Choice is

not available, or for reasons not within container lines' control, and would be unsustainable from an economic perspective.

14. Container line actions with respect to chassis did not and do not harm the consuming or shipping public, negatively impact maritime transportation competition or negatively impact the commerce of the U.S.
15. The following actions previously were not, and currently are not, causing injury to the shipping public, harm to intermodal transportation, and are not unreasonable actions by container lines as alleged in the complaint:
 - a. The adoption and implementation of CCM policies related to motor carrier choice (CCM Pool Rule 5.7);
 - b. The individual container lines' implementation of policies related to motor carriers' chassis Choice;
 - c. The compliance of container lines with "box rules" that were established by IEPs in non-CCMP Agreement pools;
 - d. The IEPs' withdrawal from certain CCMP Agreement pools and the establishment of single provider pools; and
 - e. The container lines' entering into contracts with IEPs for the provision and supply of chassis for the movement of containers under CH and MH arrangements.
16. The IMCC's calculation of the alleged damages suffered by the motor carrier industry is flawed, erroneous and completely unsupported. The underlying methodology and assumptions of IMCC's injury/damages model shows that the alleged injury is wholly unsubstantiated and improbable.

17. Respondent's experts are also expected to testify in rebuttal on the subjects and opinions raised by IMCC's experts, including, but not limited to, rebutting opinions on relevant markets, relevant products, market participants, competition matters, and antitrust matters.

III. PRIMARY LEGAL ISSUES WHICH THE PARTIES ANTICIPATE RAISING IN DISPOSITIVE MOTIONS

A. IMCC's Statement

IMCC, on behalf of its intermodal motor carrier members, seeks declaratory relief and an order compelling Respondents to cease and desist from violations of the Shipping Act of 1984 as amended.² IMCC thus does not seek damages. Under 46 U.S.C. § 41102(c), "[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

At this time, IMCC anticipates that its Motion for Summary Decision will raise the following primary legal issues.

1. Whether the Federal Maritime Commission Properly Asserts Personal and Subject Matter Jurisdiction in this Proceeding

First, the Commission has personal jurisdiction over Respondents. It has jurisdiction over each of the Ocean Carrier Respondents, which engage in international maritime commerce of the United States and have submitted to the jurisdiction of the Commission by filing agreements as required by 46 U.S.C. §§ 40301(a) and 40302. It has jurisdiction over OCEMA as an entity created pursuant to FMC Agreement No. 011284 and as an agent for its ocean carrier members. And it has jurisdiction over CCM and its affiliates as entities created pursuant to the CCMP

² IMCC also seeks reasonable attorneys' fees under 46 U.S.C. § 41305(e). Compl. at 41.

Agreement, FMC Agreement No. 011962, and as agents for the members of OCEMA who control their governance pursuant to the provisions of that agreement.

Second, the Presiding Officer already has determined twice, based on the Complaint's allegations and accepting them as true, that the Commission has subject matter jurisdiction over the claims at issue. Order Denying Mot. to Dismiss at 4 (Nov. 18, 2020) ("MTD Order"); Order Denying Mot. for Leave to File Interloc. Appeal at 6 (Jan. 29, 2021) ("Appeal Order"). The Presiding Officer should hold that the Commission has subject matter jurisdiction over this proceeding based on record evidence that, among other things, "ocean carriers affect and exert control over chassis availability through their regulations and practices," MTD Order at 4; "[t]he Commission also has subject matter jurisdiction over the OCEMA and CCMP agreements which authorize the operating rules at issue," Appeal Order at 6; and "[t]he Commission has jurisdiction over Respondents, who are regulated entities," and "to the extent that agreements between regulated entities implement regulations and practices regarding the receiving, handling, storing, and delivering of property that are shown to violate the Shipping Act, the Commission has jurisdiction over those claims," *id.*

2. Whether Respondents Have Violated the Shipping Act

IMCC asserts that Respondents have violated the Shipping Act, 46 U.S.C. § 41102(c), by adopting, imposing, engaging in, and enforcing unjust and unreasonable regulations and practices. Those unjust and unreasonable regulations and practices include (i) improper linkages between MH rates, where a motor carrier or its customer is billed for chassis usage, and CH rates, where an ocean carrier is billed for chassis usage, in Ocean Carrier Respondents' contracts with IEPs, enabling Respondent Ocean Carriers' low CH rates to be subsidized by high MH rates and incenting them to restrict chassis choice; (ii) CCM rules that enable ocean carriers to enter

agreements with IEPs restricting chassis choice; and (iii) withdrawals from CCM's interoperable gray chassis pools.

(i) *Improper Linkages Between MH and CH in Ocean Carrier Respondents' Contracts with IEPs*

IMCC claims, and discovery has shown, that Ocean Carrier Respondents solicited proposals for, and entered into, chassis usage contracts with IEPs in which Ocean Carrier Respondents designated an IEP as its default chassis provider for *both* CH and MH movements of containers, while awarding the contract based only on low CH rates *alone*. Furthermore, IMCC claims, and discovery has shown, that provisions in Ocean Carrier Respondents' contracts with IEPs reward Ocean Carrier respondents for higher percentages of MH movements and practices that restrict the ability of motor carriers and their customers from freely exercising chassis choice. These contractual provisions and the incentives for restrictions on chassis choice result in IEPs *overcharging* motor carriers for MH movements while *undercharging* Ocean Carrier Respondents for CH movements and, as a result, cross-subsidizing low CH prices with high MH prices.

(ii) *CCM Rules that Restrict Chassis Choice*

Respondent CCM, CCM's affiliates, and Ocean Carrier Respondents acting through CCM and its affiliates, adopted and enforce rules that authorize the Ocean Carrier Respondents to enter into contracts restricting chassis choice, as set out above. In particular, Rules 5.5 and 5.7 of the CCMP Operations Manual give ocean carriers (and IEPs) the ability to exercise veto power over motor carrier chassis choice requests and prevents motor carriers from exercising the freedom to choose the chassis provider to which to assign usage. Instead, as testimony has shown, these Rules have enabled and continue to enable assignment of chassis usage by the "Box Rules" through which chassis usage is assigned to the IEP with which the ocean carrier has a

contract. These veto-enabling provisions also reduce the ability of motor carriers and their customers to negotiate lower MH rates through competition among IEPs for their business, not only to their detriment but to the detriment of the shipping public.

(iii) Withdrawals from CCM's Interoperable Gray Chassis Pools

Despite the recognized benefits and efficiencies of interoperable gray chassis pools, and notwithstanding their obligations as common carriers, the Ocean Carrier Respondents have entered into agreements with IEPs that prioritize Ocean Carriers' reduction of prices they pay for chassis usage by authorizing the IEPs to no longer provide them with chassis from CCM's interoperable gray chassis pools in certain locations across the United States (e.g., CCM's Chicago and Ohio Valley Consolidated Chassis Pool ("COCP") in the Chicago/Ohio Valley region, and CCM's Mid-South Consolidated Chassis Pool ("MCCP") in the Memphis area). Instead, these contracts allow the Ocean Carrier Respondents to be served by IEPs' proprietary, single-provider chassis pools in those regions, which inherently prevent chassis choice. The Ocean Carriers Respondents' decisions to enter into those contracts allows the withdrawal of chassis from CCM's interoperable gray chassis pools, which has destabilized those pools, and, in at least two instances, closure of those pools.

The closures of CCM interoperable gray chassis pools, such as the COCP, and ocean carrier decisions no longer to be served by continuing CCM interoperable gray chassis pools, such as the MCCP, have harmed motor carriers and the shipping public, such as by reducing fluidity and efficiency in the supply chain. These harms and inefficiencies include (i) increased wait time or driver time spent driving to non-interoperable pool locations to obtain chassis from an ocean carrier's designated chassis provider (thus reducing driver compensation and exacerbating driver recruitment and retention issues for IMCC members); (ii) transporting that chassis without a container to or from the intermodal facility or a customer's location; (iii)

having to change chassis at intermodal rail terminals when a container is already on a chassis; (iv) the fragmentation of start/stop locations for the pick-up and return of chassis; and (v) the increased complexity of dispatching trucks to move containers to and from customer locations. This supply-chain dysfunction is the result of Ocean Carrier Respondents' contractual decisions, which has exacerbated the supply chain disruptions presently affecting the movement of international containers and thus adversely affect the shipping public as a whole.

3. Whether Respondents' Unjust and Unreasonable Conduct has Occurred on a Normal, Customary, and Continuous Basis

IMCC has alleged, and the evidence in this case demonstrates, that the Respondents' conduct has occurred on a normal, customary, and continuous basis beginning at least since the adoption of the OCEMA/CCM Choice program in 2013 and the adoption of CCM Rules relating thereto. Further, Respondent Ocean Carriers' designations of non-interoperable chassis pools as their exclusive chassis providers in lieu of interoperable pools operating in the same region has been ongoing since they began to divest their chassis fleets.

4. Whether Respondents' Violations of the Shipping Act Have Caused Harm to Motor Carriers, Their Shipping and Receiving Customers, and Ultimately the Shipping Public

IMCC's members have suffered, and without intervention by the Commission will continue to suffer, inefficiencies, costs, and financial injury caused by the Respondents' unjust and unreasonable regulations and practices. First, IMCC members suffer increased costs as direct purchasers of daily chassis rentals for MH movements, including through restrictions on their ability to exercise choice. Secondly, IMCC members and the shipping public suffer the costs of increased inefficiencies and decreased fluidity in the movement of containers under their MH contracts, as set out above.

5. Whether the Geographic Regions Surrounding the Ports and Intermodal Terminals at Savannah, Memphis, Chicago, and Los Angeles/Long Beach Constitute Relevant Markets in Which to Assess the Effects of Respondents' Conduct

Each of the geographic regions surrounding the ports and intermodal terminals at Savannah, Memphis, Chicago, and Los Angeles/Long Beach constitutes a relevant market in which to assess the deleterious market effects of the Respondents' unjust and unreasonable regulations and practices. Chassis drayage moves containers relatively short distances. Chassis typically remain in a particular market and are not generally viewed as transferable between markets, such that demand surge in one market is unlikely to affect another market. The prices charged by IEPs for both CH and MH movements are set on a region-specific basis.

* * *

IMCC intends to move for summary decision on the grounds that Respondents' unjust and unreasonable regulations and practices briefly described above violate the Shipping Act, 46 U.S.C. § 41102(c).

B. Respondents' Statement

Respondents anticipate that the following legal issues will be raised as grounds for dismissal in its dispositive motion:

1. Complainant has failed to adduce sufficient evidence showing that any of the Respondents have violated Section 41102(c) of the Shipping Act of 1984, which requires that Respondents have failed "to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property." The factual evidence and expert testimony establishes that container lines have acted reasonably with respect to the allegations in the Complaint concerning chassis:

- a. There is no evidence that container lines have colluded to deny motor carrier Choice;
- b. There is no evidence that denial of motor carrier Choice is widespread among individual ocean carriers – specific examples with respect to each container line will be described in Respondents’ motion;
- c. The evidence will show that denials of Choice are rare and that, when they occur, the decision is typically outside the of the control of the container line.
- d. The evidence will show that IMCC’s allegations of overcharges and injury to its members are baseless and completely unfounded. The absence of the alleged injury and damages is directly probative to the issue as to whether the Respondents have acted unreasonably within the meaning of Section 41102(c) of the Shipping Act. Specifically:
 - i. The evidence has shown that there is no “injury” to the IMCC’s members because the methodology that served as the basis for the estimated \$1.8 billion in overcharges and injury alleged in IMCC’s verified Complaint is patently flawed and the alleged damages are non-existent;
 - ii. The evidence will show that, rather than sustaining damages, certain motor carrier members of IMCC have realized substantial profit by “marking up” chassis usage and per diem charges that the motor carriers charge their customers. Their motivation for seeking unfettered Choice is not to protect the shipping public, but to further expand the profit margins they currently realize.

2. Complainant has failed to adduce any evidence to sustain its claims that alleged refusal or denials of choice by any ocean carrier resulted in systemic, nation-wide injury that IMCC alleges. Contrary to the allegations in the Complaint, ocean carriers have a wide range of different business models, practices and policies with respect to chassis. For example, (1) some ocean carriers provide and pay for chassis in both CH and MH moves, rendering the allegations on Choice essentially moot. This model is employed by Evergreen and MSC, under which chassis are provided to the motor for the five days of free time, without charge. In those instances, Evergreen and MSC are paying for the chassis. Nevertheless, if a BCO and its motor carrier seek to use a different chassis provider, and pay that provider's chassis usage charge, Evergreen and MSC allow the BCO and its motor carrier to exercise Choice and use an IEP of their choosing. (2) The majority of ocean carriers allow choice, rendering the allegations in the Complaint as to those carriers simply unsubstantiated. (3) While a minority of ocean carriers had some version of choice restrictions, each has different facts and circumstances substantiating their policies and practices. And taken together, the allegations of industry-wide, nation-wide conduct and alleged resulting harm are not credible.
3. Complainant has failed to adduce any evidence to sustain its claims against OCEMA or CCM. The evidence shows that these entities have advocated Choice and have no control over an individual container line's decision whether or not to allow Choice.
4. The Complaint must be dismissed because the IMCC have failed to name indispensable parties, specifically the IEPs with which the Respondents' contract to provide chassis. The contracts in place between the container lines and IEPs have been produced and will be offered in evidence. If, as the IMCC appears to argue, these contracts constitute a

violation of the Shipping Act, then the IEPs which are counter-parties to those contract must be named in this proceeding. Having failed to do so, the IMCC's Complaint must be dismissed as a matter of law.

As expert discovery has just begun and reports were exchanged on the evening of February 28, 2022, Respondents reserve the right to seek dismissal based on other grounds the deem to be appropriate at the time dispositive motions are required to be filed under the Fourth Amended Scheduling Order.

DATED: March 1, 2022	Respectfully submitted,
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³ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation.

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